CHINA

Table 1	2021
Population, million	1412.4
GDP, current US$ billion	17682.4
GDP per capita, current US$	12519.8
International poverty rate ($2.15)[a]	0.1
Lower middle-income poverty rate ($3.65)[a]	3.0
Upper middle-income poverty rate ($6.85)[a]	24.7
Gini index[a]	38.2
School enrollment, primary (% gross)[b]	103.2
Life expectancy at birth, years[b]	77.1
Total GHG emissions (mtCO2e)	12846.9

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2019), 2017 PPPs.
b/ Most recent WDI value (2020).

Amid multiple domestic and external headwinds, China's GDP growth is expected to slow sharply to 2.8 percent in 2022. Tight mobility restrictions in response to Omicron outbreaks have weighed on growth while persistent stress in the real estate sector has exacerbated downward pressure on economic activity. Despite the rise in global energy prices, inflationary pressures have remained moderate in light of subdued domestic demand. Poverty is expected to continue its declining trend in 2022, albeit at a much slower pace than in 2021.

Key conditions and challenges

Over the near term, China's economy has been facing multiple headwinds. COVID-related restrictions have weighed on China's growth, while persistent stress in the real estate sector has reduced housing sales and investment, further exacerbating downward pressure on economic activity. The external environment has also significantly worsened in the wake of Russia's invasion of Ukraine, with global growth slowing, inflation soaring, and financial conditions tightening.

Over the medium term, China's economy continues to confront a structural slowdown. Potential growth has been on a declining trend, reflecting adverse demographics, tepid productivity growth, and rising constraints to a debt-fueled investment-driven growth model. Geopolitical tensions that constrain China's access to global technologies could worsen.

Recent developments

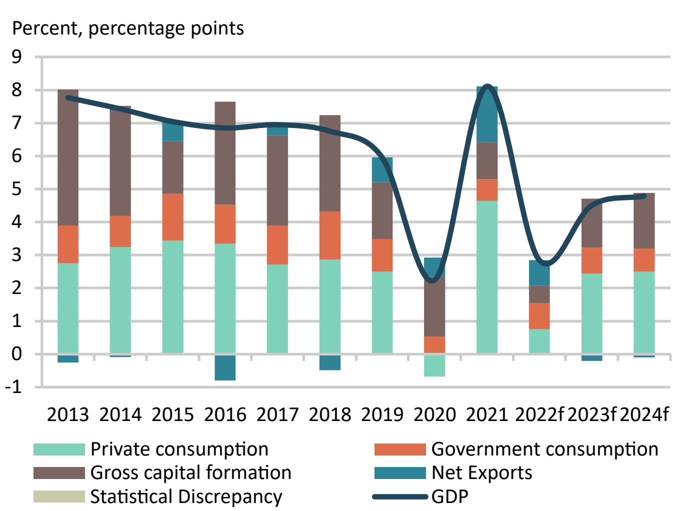
After a strong start in early 2022, China's growth cooled rapidly in the second quarter, mostly due to weaker consumption and services. Real GDP growth moderated to 0.4 percent y/y in the second quarter from 4.8 percent in the first quarter. Industrial production contracted as supply chains and logistics faced disruptions, with knock-on effects on trade flows. In light of subdued domestic demand, consumer inflation has stayed moderate and below the government's 2022 annual average target of 3 percent.

Prolonged weakness in the real estate sector remains a major headwind to China's economic recovery. Housing activity - which, together with second-round effects on the rest of the economy, accounts for an estimated 29 percent of GDP[1] - has rapidly deteriorated since mid-2021. Regulatory tightening, intended to curtail excessive leverage in the sector, has led to mounting stress in property developer funding, which has consequently constrained their investments, land purchases and construction starts. Weak consumer sentiment and mortgage boycotts by owners of homes still under construction have further weighed on the demand for real estate.

The strong recovery in 2021 resulted in poverty reduction, though slowing growth and a weaker labor market may limit welfare improvements this year. The poverty rate - as measured by the upper-middle income country line in 2017 PPP - is estimated to have fallen to 20.4 percent in 2021 (45 million fewer poor people than in 2020). Yet, the lockdowns in the second quarter of 2022 pushed urban unemployment up to 6.1 percent in April, the highest since February 2020, while youth unemployment reached a record level. Among urban residents without local hukou (household registration),

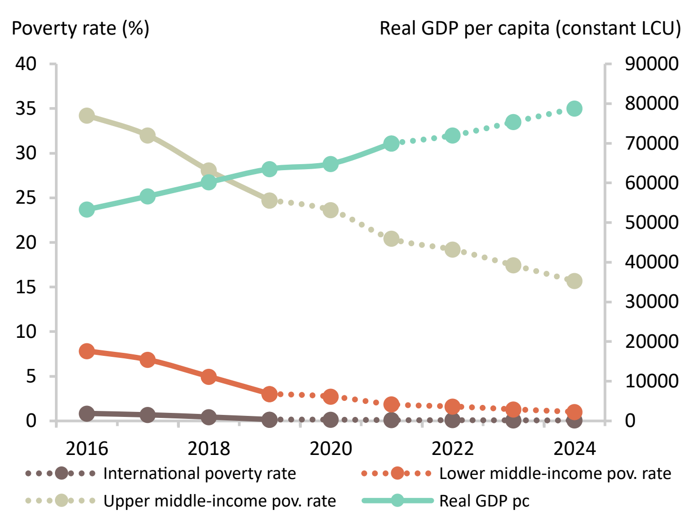
1/ Rogoff, K. and Y. Yang. 2020. "Peak China Housing." NBER Working Paper No. 27697, National Bureau of Economic Research, Cambridge, MA.

FIGURE 1 China / Real GDP growth and contributions to real GDP growth



Sources: China's National Bureau of Statistics and World Bank staff estimates.

FIGURE 2 China / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

unemployment increased to 6.9 percent in April, though it subsequently declined. In the first half of 2022, urban residents reduced consumption, even as their disposable income marginally increased relative to January-June 2021. Over the same period, expenditure and income for rural households grew by around 4 percent, with income driven by strong growth of salaries and transfers, albeit slower than in the previous year.

The authorities have stepped up macroeconomic policy easing with higher public infrastructure spending, tax rebates, policy interest rate cuts, and relaxation in local purchase restrictions in the property sector. However, reduced social mobility and elevated economic uncertainty have continued to weigh on private consumption and investment, decreasing the effectiveness of policy stimulus.

Outlook

China's GDP growth is expected to slow sharply to 2.8 percent in 2022, reflecting the negative impact of the pandemic, continuing real estate woes, and weakening external demand. A modest rebound is expected in the second half of 2022, helped by the public infrastructure push and a moderate recovery in consumer spending. However, the normalization of domestic demand is expected to be gradual amid lingering softness in labor market conditions, subdued consumer sentiment, and a prolonged real estate downturn. External demand is also expected to weaken as global growth slows.

In contrast to other major economies, inflation in China is projected to remain moderate. Headline CPI inflation is expected to pick up modestly, mainly due to higher food prices resulting from declining domestic hog supply and unfavorable weather conditions. Core inflation is likely to remain subdued amid the moderate recovery in domestic demand.

The GDP growth slowdown means that poverty will continue to decline, albeit at a slower pace than last year. The poverty rate measured at $6.85/day per person (at 2017 PPP) is projected to fall to 19 percent in 2022. This implies 16 million fewer poor people this year, compared to an estimated fall in the number of the poor of 45 million in 2021. The share of the poor residing in urban areas is projected to continue to grow, reaching 41 percent in 2022.

Risks to China's growth outlook are tilted to the downside. The most prominent risks relate to the possibility of large-scale outbreaks of new, highly transmittable virus variants, which could lead to more prolonged disruptions in economic activity. Risks also emanate from the persistent stress in the real estate sector, which could result in larger-than-expected spillovers into the rest of the economy and financial markets. These could be triggered by stricter public health measures and spreading mortgage boycotts discouraging prospective buyers, which could further reduce available financing for real estate developers and weigh on sales and investment. Lower property prices could reduce consumer spending via their negative impact on household wealth.

TABLE 2 **China** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2019	2020	2021	2022e	2023f	2024f
Real GDP growth, at constant market prices	6.0	2.2	8.1	2.8	4.5	4.8
Private Consumption	6.5	-1.8	12.4	1.9	6.3	6.4
Government Consumption	6.0	3.2	4.0	4.9	4.8	4.2
Gross Fixed Capital Investment	5.3	3.2	2.3	1.4	3.8	4.3
Exports, Goods and Services	2.1	1.7	17.9	2.2	1.2	2.0
Imports, Goods and Services	-1.8	-1.4	10.7	-1.8	2.9	3.2
Real GDP growth, at constant factor prices	6.0	2.2	8.1	2.8	4.5	4.8
Agriculture	3.1	3.1	7.1	3.5	3.1	3.1
Industry	4.9	2.5	8.2	3.2	4.1	4.2
Services	7.2	1.9	8.2	2.5	5.0	5.5
Inflation (Consumer Price Index)	2.9	2.5	0.9	2.3	2.0	1.9
Current Account Balance (% of GDP)	0.7	1.7	1.8	1.6	1.0	0.7
Net Foreign Direct Investment Inflow (% of GDP)	0.4	0.7	1.2	0.7	0.6	0.5
Fiscal Balance (% of GDP)[a]	-4.6	-8.5	-4.4	-7.0	-5.4	-4.3
Debt (% of GDP)	38.5	45.4	47.1	51.4	53.7	54.7
Primary Balance (% of GDP)	-3.6	-7.5	-3.3	-5.9	-4.2	-3.0
International poverty rate ($2.15 in 2017 PPP)[b,c]	0.1	0.1	0.1	0.1	0.1	0.1
Lower middle-income poverty rate ($3.65 in 2017 PPP)[b,c]	3.0	2.7	1.9	1.6	1.3	1.0
Upper middle-income poverty rate ($6.85 in 2017 PPP)[b,c]	24.7	23.6	20.4	19.2	17.5	15.7
GHG emissions growth (mtCO2e)	2.0	1.0	5.5	1.2	1.7	1.6
Energy related GHG emissions (% of total)	82.8	82.7	82.5	82.2	81.8	81.5

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast. Poverty lines are expressed in 2017 PPP, resulting in changes from earlier editions that used 2011 PPP. See pip.worldbank.org.
a/ The adjusted fiscal balance adds up the public finance budget, the government fund budget, the state capital management fund budget and the social security fund budget.
b/ Last grouped data available to calculate poverty is for 2019 provided by NBS. Actual data: 2019. Nowcast: 2020-2021. Forecasts are from 2022 to 2024.
c/ Projections based on GDP growth estimates, using a neutral distribution assumption with pass through 0.85 to per capita household consumption.